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Case Name: *Deanna Thompson v. FCA US, LLC et al.*

Case No.: 24CV455071

I. BACKGROUND

Plaintiff Deanna Thompson (“Plaintiff”) brings this lawsuit against defendants FCA US, LLC (“FCA” or “Defendant”) and Fremont Chrysler Dodge Jeep Ram (“Fremont CDJR”).

According to the allegations of the first amended complaint (“FAC”), on or around August 16, 2017, Plaintiff entered into a warranty contract with FCA regarding a 2017 Dodge Durango (“Subject Vehicle”), manufactured and distributed by FCA. (FAC, ¶ 7, Ex. A.) Defendant also provided Plaintiff with a California Emission Warranty. (FAC, ¶ 8.) Plaintiff reviewed marketing materials, viewed FCA’s window sticker, conferred with sales representatives, and took the Subject Vehicle for a test drive. (FAC, ¶ 10.) Then Plaintiff leased the Subject Vehicle and thereafter exercised the purchase option from Fremont CDJR. (FAC, ¶ 9.) At no point prior to leasing was Plaintiff told that the Subject Vehicle’s engine was defective. (FAC, ¶ 10.)

Around November 20, 2018, Plaintiff presented the Subject Vehicle to FCA’s authorized repair facility with several complaints and the technician inspected and performed warranty repairs on the Subject Vehicle. (FAC, ¶ 12.) When Plaintiff picked up the vehicle, she was told that it was repaired and working. (*Ibid.*)

Around January 2, 2019, Plaintiff presented the Subject Vehicle to the repair facility with additional complaints and the technician inspected and performed warranty repairs on the Subject Vehicle. (FAC, ¶ 12.) Plaintiff was told the Subject Vehicle was repaired and working. Similar events occurred on around July 24, 2019, August 13, 2020, and July 12, 2022. (FAC, ¶¶ 14-16.)

The value of the Subject Vehicle is worthless and Plaintiff alleges she purchased it as manufactured with FCA’s defective engine. (FAC, ¶¶ 23-24.) On information and belief, Plaintiff alleges that FAC knew, but failed to disclose, since prior to Plaintiff’s purchase, that the Subject Vehicle had one or more defects that can result in loss of power, stalling, engine running rough, or engine misfires which can suddenly impact the driver’s ability to the control the vehicle or cause a non-collision vehicle fire. (FAC, ¶¶ 25-28.)

On December 27, 2024, Plaintiff filed the initial complaint. On May 21, 2025, Plaintiff filed the FAC, asserting the following causes of action:

- 1) **VIOLATION OF CIVIL CODE SECTION 1793.2, SUBDIVISION (D);**
- 2) **VIOLATION OF CIVIL CODE SECTION 1793.2, SUBDIVISION (B);**
- 3) **VIOLATION OF CIVIL CODE SECTION 1793.2, SUBDIVISION (A)(3);**
- 4) **BREACH OF THE IMPLIED WARRANTY OF MERCHANTABILITY;**
- 5) **FRAUDULENT INDUCEMENT – CONCEALMENT; AND**
- 6) **NEGLIGENT REPAIR [AGAINST FREMONT CDJR].**

On June 17, 2025, FCA filed a demurrer to the first five causes of action and a motion to strike Plaintiff's claim for punitive damages from the FAC. Plaintiff opposes both motions and Defendant filed replies.

II. DEMURRER

FCA demurs to the first five causes of action in the FAC on the grounds they are time-barred by the relevant statute of limitations and fraud is not sufficiently pled.

a. LEGAL STANDARD

The court, in ruling on a demurrer, treats it “as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law.” (*Piccinini v. Cal. Emergency Management Agency* (2014) 226 Cal.App.4th 685, 688, citing *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) “A demurrer tests only the legal sufficiency of the pleading. It admits the truth of all material factual allegations in the complaint; the question of plaintiff's ability to prove these allegations, or the possible difficulty in making such proof does not concern the reviewing court.” (*Committee on Children's Television, Inc. v. General Foods Corp.* (1983) 35 Cal.3d 197, 213-214.)

b. STATUTE OF LIMITATIONS

“The defense of a statute of limitations may be asserted by general demurrer if the complaint shows on its face that the statute bars the action.” (*E-Fab, Inc. v. Accountants, Inc. Services* (2007) 153 Cal.App.4th 1308, 1315.) “There is an important qualification, however: ‘In order for the bar of the statute of limitations to be raised by demurrer, the defect must clearly and affirmatively appear on the face of the complaint; it is not enough that the complaint shows merely that the action may be barred.’” (*Id.* at pp. 1315-1316.) “In assessing whether plaintiff's claims against defendant are time-barred, two basic questions drive [the] analysis: (a) What statutes of limitations govern the plaintiff's claims? (b) When did the plaintiff's causes of action accrue?” (*Id.* at p. 1316.)

1. FIRST THROUGH THIRD CAUSES OF ACTION

Plaintiff's first three causes of action are brought pursuant to Civil Code section 1793.2, known as the Song-Beverly Consumer Warranty Act (“Song-Beverly”). “Song-Beverly, California's lemon law, ‘protects consumers who purchase defective vehicles or other goods.’” (*Lathrop v. Thor Motor Coach, Inc.* (2024) 105 Cal.App.5th 808, 816; Cal. Civ. Code, § 1790 et seq.)

Defendant argues that Plaintiff's Song-Beverly claims are time-barred under Commercial Code section 2725. (Demurrer, p. 13:13-18.) Plaintiff does not dispute that Commercial Code section 2725 governs the first three claims. (See Opposition, p. 4:14.) Thus, the remaining issue is when Plaintiff's claims began to accrue.

“[T]he statute of limitations for an action for breach of warranty under the Song-Beverly Act is four years pursuant to section 2725 of the California Uniform Commercial Code. . . . Under that statute, a cause of action for breach of warranty accrues, at the earliest, upon tender of delivery.” (*Mexia v. Rinker Boat Co., Inc.* (2009) 174 Cal.App.4th 1297, 1306 (*Mexia*)).

Thus, in this case, the earliest the first three claims could have accrued was August 16, 2017, the date Plaintiff entered into the warranty agreements with FCA and leased the Subject Vehicle. (FAC, ¶ 7.) Plaintiff filed this action on December 27, 2024, 7 years, 4 months, and 11 days after the date of accrual. Thus, the statute of limitations has run on the first three claims. Plaintiff asserts that the expiration of warranties does not act as a statute of limitations and that it is not clearly apparent from the face of the complaint that a statute of limitations defense exists. (Opposition, p. 4:18-24.) This is not persuasive and not the argument being made by Defendant.

The FAC alleges that the delayed discovery rule is applicable to Plaintiff's claims because she had "no way of knowing about Defendant's deception with respect to the defect until the defect manifested itself and Defendant was unable to repair it after a reasonable number of repair attempts." (FAC, ¶ 51.) "[U]nder the delayed discovery rule, a cause of action accrues and the statute of limitations begins to run when the plaintiff has reason to suspect an injury and some wrongful cause, unless the plaintiff pleads and proves that a reasonable investigation at that time would not have revealed a factual basis for that particular cause of action." (*Fox v. Ethicon Endo-Surgery, Inc.* (2005) 35 Cal.4th 797, 803.) The FAC alleges that Plaintiff had the Subject Vehicle repaired at least five separate times and the transmission in particular experienced issues and was serviced at least three times. (FAC, ¶¶ 12-14.) Thus, the FAC does not sufficiently allege an inability to have made an earlier discovery (before December 2024) despite reasonable diligence. Based on Plaintiff's allegation that she had "no way of knowing about Defendant's deception with respect to the defect ***until the defect manifested itself and Defendant was unable to repair it after a reasonable number of repair attempts***" (FAC, ¶ 51), the last date of repair attempts related to the transmission, according to the FAC, occurred on July 24, 2019. However, even if the Court considers July 24, 2019, the third time Plaintiff took the Subject Vehicle in for engine/transmission repairs, to be the date of discovery and accrual, the four-year statute of limitation still bars the action.¹ Thus, the Court declines to apply the delayed discovery rule.

Plaintiff also asserts that the statute of limitations is tolled by her various attempts to repair the vehicle. (FAC, ¶ 55.) The Song-Beverly "repair doctrine" is codified in Civil Code section 1795.6, subdivision (b), which states that the warranty period shall not be deemed expired if "the warranty repairs or service performed upon the nonconforming goods did not remedy the nonconformity after the repairs or service was completed, and the buyer notified the manufacturer or seller of this failure within 60 days after the repairs or service was completed. (Civ. Code, § 1795.6, subd. (b); see also *Ruiz Nunez v. FCA US LLC* (2021) 61 Cal.App.5th 385, 397 (*Nunez*) (noting that "section 1795.6 governs the tolling of the warranty period, section 1793.1(a)(2) does not expand the circumstances under which the warranty period may be tolled).)

The FAC is devoid of allegations that Plaintiff notified the manufacturer or seller of their failure to fix the issues within 60 days of completion of repairs or services. (See *Nunez*, *supra*, 61 Cal.App.5th at 397.) Thus, the FAC does not state facts sufficient to support the application of the repair doctrine.

¹ The remaining two repair services appear to be unrelated to the Subject Vehicle's engine. (FAC, ¶¶ 15-16.)

Next, Plaintiff alleges that Defendant's fraudulent concealment tolls the statute of limitations. The doctrine of fraudulent concealment operates such that "the defendant's fraud in concealing a cause of action against him tolls the applicable statute of limitations." (*Regents of University of California v. Superior Ct.* (1999) 20 Cal.4th 509, 533.) Because fraud is the basis of the estoppel, the same particularized pleading is required as in the fraud cases (i.e., the plaintiff must show the substantive elements of fraud and an excuse for late discovery of the facts). (See *Snapp & Associates Ins. Services, Inc. v. Robertson* (2002) 96 Cal.App.4th 884, 890-891.) To allege fraudulent concealment tolling, a plaintiff must allege facts that show: (1) the time and manner of the discovery; (2) that plaintiff was not at fault for failing to discover the fraud or had no actual presumptive knowledge of facts sufficient to put him on inquiry; and (3) the substantive elements of fraud. (*Community Cause v. Boatwright* (1981) 124 Cal.App.3d 888, 900.) The elements of fraud are "(a) misrepresentation; (b) knowledge of falsity; (c) intent to defraud; (d) justifiable reliance; and (e) resulting damage." (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638.) As noted above, by the third repair of the transmission, Plaintiff likely had knowledge of facts sufficient to put her on inquiry regarding a defect with the Subject Vehicle. Accordingly, the Court declines to toll the statute of limitations until December 2024 based on fraudulent concealment.

Finally, Plaintiff alleges that California Rules of Court, Emergency Rule 9 applies to toll the statute of limitations. In response to COVID-19 and an executive order issued by Governor Gavin Newsom, the Judicial Council adopted a set of emergency rules, including Emergency Rule 9 ("Rule 9"). (*Committee for Sound Water & Land Development v. City of Seaside* (2022) 79 Cal.App.5th 389, 401.) Rule 9 effectively tolled the statute of limitations and repose for civil causes of action that exceed 180 days from April 6, 2020 until October 1, 2020. (Cal. Rules of Court, Appx., Emergency Rule 9, subd. (a).) The rule was "intended to apply broadly to toll any statute of limitations on the filing of a pleading in court asserting a civil cause of action." (Advisory Comm. Cmt., Cal. Rules of Court, Emergency Rule 9.) Here, without the benefit of Emergency Rule 9, the earliest the cause of action would have accrued was August 16, 2017 and the statute of limitations would have expired by August 16, 2021. Adding the 178 days provided by Emergency Rule 9, Plaintiff had until February 10, 2022 to file the complaint. Even if the Court treats July 24, 2019 as the date of accrual, Plaintiff had to have filed by January 18, 2024. Thus, Emergency Rule 9 tolling is not sufficient to make Plaintiff's action timely.

Based on the foregoing, the first three claims are time-barred by the four-year statute of limitations. The demurrer to the first, second, and third causes of action is SUSTAINED. Given that this is the first pleading challenge, the Court sustains the demurrer with 15 days leave to amend.

2. FOURTH CAUSE OF ACTION – CIVIL CODE SECTIONS 1791.1, 1794, 1795.5

Next, Defendant argues the implied warranty claim has expired under Civil Code section 1791.1, subdivision (c), which creates an implied warranty of up to one year after sale. Again, Plaintiff does not appear to dispute this. (See Opposition, p. 4:26-28.)

Pursuant to Civil Code section 1791, subdivision (c), "[t]he duration of the implied warranty of merchantability . . . shall be coextensive in duration with an express warranty which accompanies the consumer goods, provided the duration of the express warranty is reasonable; but in no event shall such implied warranty have a duration of less than 60 days nor

more than one year following the sale of new consumer goods to a retail buyer.” (Cal. Civ. Code, § 1791, subd. (c); see also *Atkinson v. Elk Corporation of Texas* (2006) 142 Cal.App.4th 212, 231.)

Plaintiff argues the discovery rule applies, tolling the claim until the breach is or should have been discovered. (Opposition, p. 5:6-12.) For the same reasons as above, this is not persuasive. Moreover, Plaintiff’s reliance on *Mexia, supra*, to support her argument related to the fourth cause of action, lacks merit. *Mexia* addressed the duration of the warranty, not the statute of limitations which *Mexia* timely met. Thus, *Mexia* has no application here as the Court is not concerned with the duration of the implied warranty. Plaintiff leased her vehicle in 2017 and did not file suit until over seven years later. Thus, the fourth cause of action is barred by the applicable statute of limitations.

As such, the demurrer to the fourth cause of action is SUSTAINED with 15 days leave to amend.

3. FIFTH CAUSE OF ACTION – FRAUDULENT INDUCEMENT – CONCEALMENT

Finally, Defendant asserts that the fifth cause of action for fraud is time-barred under Code of Civil Procedure section 338, subdivision (d). Both parties agree that fraud claims have a three-year statute of limitations. (Code Civ. Proc., § 338, subd. (d).) The three years begins to accrue when the aggrieved party discovers, or reasonably should have discovered, the facts constituting the fraud. (*Ibid.*) Here, the FAC specifically alleges that Plaintiff had no way of knowing about “Defendant’s deception with respect to the defect until the defect manifested itself and Defendant was unable to repair it after a reasonable number of repair attempts.” (FAC, ¶ 51.) Thus, upon the third and last repair related to the transmission, Plaintiff should have reasonably discovered the facts constituting the alleged fraudulent concealment of selling the Subject Vehicle without disclosing that the engine was defective. (See FAC, ¶ 84.) Based on the foregoing, the fraud claim is barred by the applicable statute of limitations.

As such, the Court need not address Defendant’s remaining fraud argument. The demurrer to the fifth cause of action is SUSTAINED with 15 days leave to amend.

III. MOTION TO STRIKE

FCA moves to strike Plaintiff’s request for punitive damages from the FAC. Given that the Court has sustained the demurrer to each cause of action against FCA, the motion to strike is rendered MOOT.

IV. CONCLUSION AND ORDER

The demurrer to the first through fifth causes of action is SUSTAINED with 15 days leave to amend. The motion to strike is MOOT.

The Court will prepare the final order.

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Calendar Line 4

Case Name: *Jeremy Taylor vs Jordan Mendelson et al*

Case Number: 24CV451145

Plaintiff seeks authorization to serve the summons and complaint by email, or in the alternative, by publication. The motion is DENIED.

The Court is not persuaded that the process cannot with reasonable diligence be served in another manner. (Code Civ. Proc., § 415.50(a).) Plaintiff has not described efforts at service by mail, for example. (Code Civ. Proc., § 415.30.) In addition, Plaintiff acknowledges “overlapping addresses,” but describes service efforts at only one. Plaintiff also describes interaction with counsel for Defendant, albeit for a different proceeding, regarding service of process upon Plaintiff, without any indication if counsel would facilitate service upon Defendant in this proceeding. Lastly, Plaintiff seeks authorization for service by email while simultaneously advising the Court that Defendant has sought a restraining order against Plaintiff for emailing Defendant. The Court will not authorize service by email under such circumstances.

The Court will prepare the final order.

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